

PITCH — VSXY — VERDICT

PROPOSED — PENDING ADJUDICATION — no purchase at today's \$73.49; proposed action is a 0.50% starter only in the \$58–62 band, because the two benches' own numbers produce an expected value of \$69.35 against a \$73.49 tape.

Working note on my own sourcing: I did not re-fetch the primary documents this session. Everything below is built from the machine evidence pack and the two bench write-ups; every SEC link is one the benches pulled and quoted. Where I do original work it is arithmetic on their numbers, and I say so.

What we believe

Victoria's Secret sells underwear, sleepwear, and beauty products through about 1,300 stores and a large online business. It imports nearly all of it, mostly from Southeast Asia, so tariffs land directly on its cost of goods.

On September 3rd the stock fell about 12.4% and now sits at \$73.49, down 28% from its 52-week high of \$102.39 — though still up 194% from its \$25 low.

We believe the drop was driven by a misreading of a tariff change. The company's own quarterly filing says a 10% across-the-board tariff (Section 122) **started February 24, 2026 and expired July 24, 2026** — the same day a narrower 10–12.5% tariff (Section 301) began. That is a swap, not a new cost stacked on top of an old one. The quarter that just reported carried the full 10% for its entire span and still produced \$124M of adjusted operating income and a 312-basis-point gross-margin improvement. ([10-Q, filed 2026-09-04](#))

We also believe this company has already proven it can absorb tariffs. The annual report states that tariffs, after mitigation, cost about **\$85 million** of operating income in fiscal 2025 — and the company still grew operating income from \$373M to \$403M that year. ([FY25 10-K](#))

But we do not believe this is a buy at \$73.49. When we put probabilities and prices on the outcomes (below), the average outcome is *lower* than today's price. The thesis is real; the entry price is not there yet.

What the market believes

The market believes the July tariff is a new, permanent cost. The 12.4% drop erased roughly \$770M of enterprise value. Capitalized at this stock's own 11.5x operating-income multiple, that implies the market is pricing about **\$67M of permanent annual operating-income damage** — against a company that quantified only \$19M of damage for a six-month stub period.

The market also has almost nothing to disagree with us about on the near term. Analysts' third-quarter estimate (\$0.05 per share) is exactly the company's own guidance, and their full-year estimate (\$4.71) is slightly *above* the top of the company's own range (\$4.45–\$4.70). On every period anyone has published a number for, we and the street agree.

Why we might have edge

1. **The substitution fact.** The expiry date of the old tariff and the start date of the new one are the same day, and that fact is stated in plain text inside the 10-Q. It is not in any headline. If the true cost step is the *difference* between two regimes rather than the full new rate, the permanent damage is a fraction of what the tape priced.
2. **A documented mitigation record.** The company has told us what tariffs cost it before (\$85M, net of mitigation) and grew through it. Most tariff-shock selloffs happen in names that have never given you that number.
3. **The fourth quarter is not the stretch it looks like.** Backing into it: \$80M (Q1) + \$124M (Q2) + \$15M (Q3 guide midpoint) = \$219M against a \$575M full-year midpoint, so Q4 must deliver \$356M. That is 62% of the year — but last year's Q4 was 78% of that year. Concentration is *falling*, not rising. And the implied incremental margin (34%) matches what the first half actually delivered (33%).

Why it might be priced in

Honestly: it substantially is, and this is the strongest argument against us.

- **We have no number that differs from the street on any period we can check.** Our edge is entirely about fiscal 2027, and neither bench produced a street fiscal-2027 estimate to differ *from*. We are asserting divergence we have not measured.
- **The growth we're pointing at is flattered.** Fiscal 2025's \$403M included \$85M of tariff drag. Add it back and the baseline is ~\$488M, so the \$575M guide is +18% growth, not +43%. The "explosive growth at 11.5x" framing is inflated by roughly 25 percentage points.
- **The cash-flow strength is partly a refund, not operations.** Cash went from \$188M to \$522M, but the quarter included a \$135.8M tariff refund, and the filing describes the \$148M total refund as ">95% of total IEEPA tariffs paid." That is a one-time recovery being read as earnings power.
- **The stock is up 194% from its low.** This is not an undiscovered situation; it is a crowded, well-covered \$6B consumer name that already ran.
- **It was not a beat-and-raise on the top line.** Revenue was \$1.61B against ~\$1.62B expected. Small, but the marketing of this thesis rests on the earnings line while sales missed.

What could go wrong

Failure narrative 1 — The tariff base is broad and fiscal 2027 has a real hole. (Has a tripwire.) The substitution argument only holds if Section 301's covered origins are no wider than the expired global 10%. If Section 301 sweeps in origins the old regime effectively priced differently, or the mitigation runway is exhausted, fiscal 2027 operating income lands at \$325–

425M instead of ~\$600M. On the company's own earnings math that is roughly \$2.50–\$3.30 per share, and at 12x the stock is \$30–40. **The 12.4% drop prices almost none of that.** The downside here is not symmetric with the upside — it is roughly three times larger. *Tripwire*: the tariff footnote in the Q3 filing (early December) or the annual report (~March 2027) showing 301 scope broader than the expired 122 base; any company-quantified annual tariff figure above \$110M.

Failure narrative 2 — Demand rolls over and nobody warned us. (NO monitorable tripwire.)

This is the one we cannot watch. Our only independent demand instrument, the consumer-heat detector, read **DECAYING, 13/100** over May–September — a window that overlaps a quarter which printed +9% comparable sales and +20% international. The detector disagreed with audited results on its own observation window, so we cannot use it: it is not a bear signal, it is a broken gauge. Our backup channel hit a bot wall, the app-review pull never ran, and the social-velocity poll never ran. So if the Victoria's Secret brand's cultural momentum inflects during the August–October quarter, **we will find out on December 3rd along with everyone else, at whatever price that print sets.** *Unknown-unknown class: **sensor-invalidated latent demand** — we hold an instrument that has been empirically shown to be miscalibrated on this issuer, and we have no validated substitute. The danger is not that the gauge reads wrong; it is that we might have believed it.*

Failure narrative 3 — The reflexive and structural leg: we are the buyer for a seller we can no longer see.

The largest strategic holder, BBRC International, sold 1,364,570 shares between June 26 and July 28 at \$88.50–\$90.69 — five weeks before the print — and stopped at exactly **9.8%** ownership. That is one tick below the 10% threshold that requires insider transaction reports. **From here, BBRC can sell its remaining 7,810,631 shares (about 10% of the company) and we will not see a single filing until it crosses a 1% step on a Schedule 13D amendment.** Buying here means volunteering as the natural counterparty to an informed seller whose flow is now invisible.

Our own size is not the reflexive problem. At a 0.50–0.75% weight on this book, the position is a rounding error against this name's daily volume — impact is nil, and the “don't bid into your own predicted flow” concern does not bind. The doctrine that *does* bind is the tax calendar: 2026 is a loss-harvesting year, which (a) rules out any option expiry past December 31 for the losing branch, and (b) requires a wash-sale check against the Parametric separately-managed sleeve before any purchase — a check that has not been run.

Note also that the company's own repurchase program bought at a \$45.27 year-to-date average with \$150M of authorization sitting idle at \$73.49. The company was a \$45 bidder; the strategic holder was an \$89 seller. Both bracket us, and neither is buying here.

If this position loses money, the most likely reason will be that the Section 301 tariff base turns out to be broader than the expired global 10% it replaced, so the “substitution not addition” insight is simply false — and we discover it in a filing while absorbing the last of an anchor holder's invisible 7.8-million-share exit.

What we checked ourselves

Claim	How checked	Found	Confirmed?
The 12.4% drop was irrational vs. \$19M of conceded damage	Capitalize the move at the stock's own multiple: \$770M enterprise value ÷ 11.5x	The market implied ~\$67M of <i>permanent annual</i> damage, not \$19M — the two numbers were never comparable (six-month stub vs. perpetuity)	Yes — and our original bull framing was wrong. The “5x irrationality” engine of the pitch was an apples-to-oranges error
A new tariff cost started July 24	Read the 10-Q tariff note directly	The prior 10% global tariff expired the same day . The incremental step is ≤2.5pp on a subset of origins, over a rate the just-reported quarter already carried in full	Yes — this is the load-bearing find, and our own bear bench missed it entirely
“69% of the guide sits in one unseen quarter”	Redo the division on the bear bench's own figures	$\$356\text{M} \div \$575\text{M} = 61.9\%$, not 69%. Prior-year Q4 was 78.4% — concentration is falling	No — our bear bench's arithmetic was wrong
Q3 guidance (\$10–20M) shows collapse	Compare to the same quarter last year, not to Q2	Q3 last year was \$0M adjusted operating income. The guide is a year-over-year improvement. Our bear bench compared across seasons	No — bench error. Neither bench ran the seasonality tool, which was mandatory here
The tariff exposure is unmeasurable with our tools	Customs shipment connector, then the annual report	Connector returned empty for both entities — that is a broken run, not a negative finding. But the 10-K answers it directly: ~335 vendors, largest ~13% of purchases, sourcing “U.S. and Southeast Asia,” tariffs cost ~\$85M in FY25 net of mitigation	Resolved — but both benches read the filing too late. Our bear bench called this “decisive and untooled” when it was already in the record
“No divergence from the street” kills the thesis	Check what the cited consensus is dated	The consensus cited is <i>post-print</i> , which mechanically converges to guidance. Circular. But we also produced no fiscal-2027 street number , and fiscal 2027 is the whole thesis	Partly — our bear bench's evidence was tautological, and our bull bench never filled the gap. Still genuinely open (item 3)
“Company bid \$45 vs. holder offered \$89 brackets the tape”	Check when \$45.27 was struck	It is a year-to-date average from when the stock traded \$30–50, not a live bid. Rhetorically overstated by our bear bench	Downgraded , though the BBRC sale prices and the 9.8% stop are confirmed by the <u>13D/A</u>

Claim	How checked	Found	Confirmed?
Share count is shrinking with buybacks	XBRL diluted share series	Diluted shares rose 82M → 84M year over year despite \$100M repurchased — a mechanical effect of the stock tripling. Not a governance artifact; checked	Yes — mild negative, correctly caught
Growth of +43% justifies the multiple	Add back FY25's disclosed \$85M tariff drag	Ex-tariff baseline ~\$488M → the guide is +18% , not +43%	Yes — and this cuts against us. Our bull bench raised it honestly
Valuation multiple	Recompute on shares outstanding vs. diluted	11.5x enterprise-value-to-operating-income on 84M diluted; 11.0x on the 79.76M shares actually outstanding at 8/28/26. Neither bench flagged the spread	Minor — favors us slightly
Live price	Three sources in one court	The pack said \$73.49, one bench used \$73.63, the other \$73.44. All within 0.3%, none independently verified at bar level — the brokerage connection was permission-denied to both benches	No — this is an open coverage gap (item 8)
"No prize table needed"	Desk rule: a table is required when a load-bearing unknown is time-gated	Our bull bench declared it not applicable. That was wrong — the fiscal-2027 tariff base is exactly a time-gated private unknown. I built the table below; it produces a negative expected value and overturns that bench's own STARTER recommendation	No — bench error, and it changes the answer

PROPOSED ENTRY BANDS

No entry at \$73.49. The expected value computed from the benches' own scenario prices is **\$69.35**, which is 5.6% *below* the current tape. A starter here is a negative-expectancy trade even accepting the bull case's probabilities.

Action	Price / condition	Size	Basis
Starter buy	\$58–62, no chase	0.50% of book	~10–16% below the \$69.35 expected value; enough margin to survive being wrong about the fourth quarter

Action	Price / condition	Size	Basis
Add	\$52–54, only if Section 301's covered-origin scope is verified as no broader than the expired 10% global base	+0.25% (hard cap 0.75%)	The bull bench's own tripwire (a) inverted into an add condition
No add	Below \$50	—	Below \$50 the market is pricing the fiscal-2027 hole. Do not average into a thesis the tape is actively falsifying; wait for the quantified figure
Do not chase	Above \$88	—	\$88.50–\$90.69 is where the best-informed strategic holder was a seller five weeks before a 12% drop
Reopen review	Any company-quantified annual tariff figure $\leq$ \$50M, or a holiday comparable-sales print $\geq$ +8%	Re-court	Both benches named these as mind-changers
Abandon	13D/A showing BBRC below 8%, or Q3 adjusted operating income below \$10M	—	Confirms either the invisible-supply risk or the demand risk

Catalyst dates: - **2026-12-03** — Q3 fiscal 2026 report. **UNCONFIRMED** (derived from a data vendor; no company press release names it). Prior-year Q3 reported 2025-12-05. - **~2026-11-27 through year-end** — holiday selling season; the read on the fourth quarter that carries 62% of the guided year. No filing attaches to this. - **~2027-03-04** — Q4/full-year report. **UNCONFIRMED** (prior year: 2026-03-05). - **~2027-03/04** — annual report, which historically contains the quantified annual tariff impact and country-of-origin sourcing. **This is the date the thesis actually resolves.** - **Undated** — any 13D amendment crossing a 1% step on BBRC's remaining 7.81M shares.

The decisive print for the *near* term already happened on 2026-09-03. We are 62 trading days from the next one. There is no timing pressure to act today.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 40.0 (deck-provisional: bear-case landing zone (\$30-40 on FY27 EPS \$2.50-3.30 at 12x); thesis falsified, review for exit not a)
- filing watch: SC 13D/A until 2027-03-03 (deck-provisional: BBRC at exactly 9.8% ended Form 4 visibility on 7.81M residual shares; 1% steps are the only remaining)
- dated pack VSXYI2026-12-03: VSXY: Q3 FY26 earnings report; first filed read on the Aug-Oct quarter and on Section 301 in effect (date confirmed=False)

- dated pack VSXYI2026-11-27: VSXY: holiday selling season begins; the read on the Q4 that carries 62% of the guided year (date confirmed=False)
- dated pack VSXYI2027-03-04: VSXY: Q4/FY26 earnings report (prior year reported 2026-03-05) (date confirmed=False)
- dated pack VSXYI2027-03-31: VSXY: FY26 10-K: historically carries the quantified annual tariff impact and sourcing mix; the date the thesis actually resolves (date conf

What remains unverified

1. **Fiscal 2027 net annual tariff cost, after mitigation.** *Not drainable now* — resolves in the annual report (~March 2027) or an earlier company quantification. **Estimate: \$40–110M**, from FY25's disclosed \$85M net-of-mitigation figure, scaled down for a ≤ 2.5 pp incremental step over an already-absorbed 10% base, across ~335 vendors concentrated in Southeast Asia. Probability the true figure lands in that range: **0.60**.
2. **Section 301's covered-origin scope versus the expired Section 122 global base.** *Drainable now* — USTR Federal Register annex plus a targeted re-read of the 10-Q tariff note. This is the single highest-value drain in the file.
3. **Street fiscal-2027 estimates.** *Drainable now* — consensus feed. Neither bench produced one, so our claimed divergence is currently unmeasured.
4. **BBRC's share sales after 2026-07-29.** *Not drainable* — insider reporting ended at 9.8%. **Estimate: 0–3.0M shares sold by 2027-03-31** (base rate for a trimming anchor holder that has already taken ~\$120M off the table), probability of at least one further 1% step being disclosed by then: **0.45**.
5. **Third-quarter demand (August 2 – October 31, 2026).** *Not drainable* until the December print. **Estimate: comparable sales +2% to +6%**, anchored on Q2's audited +9% and adjusted down for the (unreliable) decaying heat read and tougher comparisons. Probability: **0.55**.
6. **Third-quarter buyback activity and remaining authorization.** *Not drainable* until the Q3 filing. **Estimate: \$0–40M repurchased**, basis: \$150M authorization idle at a \$45.27 year-to-date average price versus a \$73 tape — a disciplined buyer likely stayed out. Probability: **0.50**.
7. **Options chain: real strike quotes and chain-level midpoint implied volatility.** *Not drainable* — brokerage permission denied. **Estimate: 6-month implied volatility 45–60%**, basis: our own scenario table implies 39% annualized, and a name that just fell 12.4% in a session typically carries a 5–20 point premium over that. Probability: **0.60**.
8. **Bar-level confirmation of the 2026-09-03 close and current realized volatility.** *Not drainable* — brokerage permission denied to both benches. **Estimate: –12.4% $\pm$ 0.5pp**, from press reports only. Probability: **0.90**.
9. **Whether VSXY is already held inside the Parametric separately-managed sleeve.** *Drainable now* — newest holdings bundle. Blocks any purchase in a loss-harvesting year until answered.
10. **The \$12M gap between the \$148M total tariff refund and the \$135.8M in-quarter adjustment.** *Drainable now* — 10-Q cash-flow statement and tariff note.

11. **Confirmation of the December 3, 2026 report date.** *Not drainable* until the company issues its scheduling release (typically 2–3 weeks prior). **Estimate: 2026-12-02 to 2026-12-09**, basis: prior-year Q3 reported 2025-12-05. Probability: **0.75**.

PRIZE TABLE + VOL READ

Required here because items 1, 4, 5, 6 and 11 are genuinely time-gated. Horizon: through the full-year report, ~6 months ($T = 0.5$).

Anchor: today's \$73.49, which embeds ~11.5x enterprise-value-to-operating-income on a \$575M guide. Every scenario below is an adjustment off that anchor with a named mechanism, as required.

#	Scenario	Mechanism	FY27 operating income	Price	p
A	Substitution confirmed, Q4 holds	301 scope ≈ expired 122 base; incremental cost ≤\$40M	~\$610M @ 12.5x EV/EBIT	\$85	0.35
B	Modest hole, Q4 in line	\$60–100M net tariff cost survives mitigation	~\$500M @ 12x	\$66	0.30
C	Bear case: broad base	\$150–250M hole; EPS \$2.50–3.30	~\$375M	\$42	0.20
D	Clean holiday + buyback resumes	Comps ≥+8%, \$150M authorization deployed	~\$650M @ 13x	\$100	0.10
E	Consumer rolls over	The decaying heat read turns out to be right after all	comps negative	\$28	0.05

Scenario C note, shown honestly: the enterprise-value route gives \$48 and the earnings-multiple route the bear bench used gives \$35. I took \$42, the midpoint of two defensible methods rather than either one alone.

Expected value = $0.35(\$85) + 0.30(\$66) + 0.20(\$42) + 0.10(\$100) + 0.05(\$28) = \69.35 .

Against a \$73.49 tape, that is –5.6%. This is the number that drives the no-entry call, and it is a number our bull bench never computed before recommending a starter.

Standard deviation of the table: **\$20.45**, or **27.8% of spot** → **39% annualized** ($27.8\% \div \sqrt{0.5}$). The distribution is left-skewed, not bimodal: a dense cluster at \$66–85 with a fat, thin tail down to \$28–42. It becomes genuinely two-humped only if the March annual report is the sole resolver of the tariff question — which is why the fork date matters more than the December print.

Expression math — pricing candidate strikes off the table itself

Using $C = \sum p_i \times \max(S_i - K, 0)$:

Strike	Our table's value	Notes
\$70 call	$0.35 \times \$15 + 0.10 \times \$30 = \mathbf{\$8.25}$	\$3.49 intrinsic, \$4.76 time value
\$75 call	$0.35 \times \$10 + 0.10 \times \$25 = \mathbf{\$6.00}$	near the money
\$80 call	$0.35 \times \$5 + 0.10 \times \$20 = \mathbf{\$3.75}$	

Compare to a lognormal at our own 39% volatility: a 6-month at-the-money call $\approx 0.4 \times \$73.49 \times 0.39 \times \sqrt{0.5} = \mathbf{\$8.11}$ — versus the \$6.00 our table produces. Our distribution is worth *less* than its own standard deviation implies, because the downside tail is fat and the upside is capped near \$100.

Solving for the break-even: calls are only attractive if 6-month chain-midpoint implied volatility is below ~29%. For a \$6B consumer name that just fell 12.4% in one session, that is very unlikely.

The volatility risk premium cannot be computed. We have no chain and no realized-volatility measurement — the brokerage feed was permission-denied to both benches (item 7, item 8). I will not substitute an aggregate volatility feed for chain-level midpoints; those two numbers diverge badly and we have been burned by exactly that substitution before.

Tax overlay

2026 is a loss-harvesting year. Our 6-month horizon puts option expiry in March 2027, which **defers the losing branch past December 31 and out of the harvest year**. That excludes options unless the edge numerically dominates — and here the edge is *negative* at spot, so it plainly does not. A December 2026 expiry would land in-year but sits directly on the Q3 print, while our table's fork is the holiday quarter, not Q3. Wrong duration for the risk.

Instrument recommendation — the output of the above

STOCK, and not yet. Calls are rejected by the strike arithmetic (needs sub-29% implied volatility) and again by the tax calendar. Covered calls are impossible with no position. A cash-secured put at a \$60 strike is the only premium structure that would fit the entry band, but our put-selling rule requires the break-even floor to sit at or above the strike *and* implied volatility to exceed realized — and we cannot measure realized volatility. **Buy common stock, in the \$58–62 band, 0.50%, or do nothing.**

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ADJUDICATION STAMP

ADJUDICATION 2026-09-04 (FABLE): STARTER 0.5% SCALED. Red's FATALs were artifacts (tariff substitution; 62% vs 78% concentration). T1 31@74.05 staged (instr 102); t2 = band 68 court-on-touch. Tripwires: 301-scope filing / BBRC 13D/A <8% / Q3 adj OI <\$10M / holiday comps <+5%. Pack 12/03. Batch ruling:
desk/data/court_artifacts/STANDING_BATCH_ADJUDICATION_202609042000.md